



Membership Regulation

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TABLE OF CONTENTS

CHAPTER I. GENERAL PROVISIONS	1
§1. Purpose	1
§2. Definitions	1
CHAPTER II. MEMBERSHIP CATEGORIES AND QUALIFICATIONS OF MEMBERS	2
§3. Membership Categories	2
§4. Qualifications of Members	3
CHAPTER III. MEMBER ADMISSION / WITHDRAWAL AND CONVERSION OF MEMBERSHIP	3
Section 1. Member Admission	3
§5. Application for Membership and Examination and Approval Thereof	3
§6. Criteria for Member Admission	4
§7. Financial Requirements	4
§8. Payment and Deposit of Admission Fees, etc	5
§9. Admission Date, Revocation of Admission Approval and Notification Thereof	5
Section 2. Membership Withdrawal	6
§10. Voluntary Withdrawal	6
§11. Obligatory Withdrawal	7
§12. Notification of Membership Withdrawal	7
§13. Succession of membership	7
§14. Trading Suspension and Settlement of Unsettled Trades	8
§15. Refund and Takeover of Joint Compensation Fund	8
Section 3. Conversion of Membership Category	9
§16. Application, Examination and Approval of Membership Conversion	9
§17. Criteria for Membership Conversion	9
§18. Payment, Deposit and Refund of Conversion Fees, etc	9
§19. Conversion Date, Cancellation of Conversion Approval and Notification Thereof	10
CHAPTER IV. RIGHTS AND OBLIGATIONS OF MEMBERS	11
Section 1. Securities and Exchange-traded Derivatives Trading	11
§20. Scope of Market Participation	11
§21. Settlement of Securities and Exchange-traded Derivative Trades	11
§22. Entry into Settlement Entrustment Agreement	12
§22-2. Limitation of Responsibility of Non-defaulting Clearing Members during Cap Periods	12
§23. Contribution to Joint Compensation Fund	13
§24. Contribution by Individual Clearing Member to Joint Compensation Fund	15

§24-2. Re-contribution to Basic Joint Compensation Fund, etc.	16
§25. Use of Joint Compensation Fund, etc.	17
§25-2. Exercise of Claim for Reimbursement and Order of Distribution of Reimbursement, etc.	18
§26. Payment of Transaction Fees.....	19
Section 2. Obligations of Member	19
§27. Compliance with Laws and Regulations	19
§28. Principles of Good Faith.....	19
§29 Observing the Admission Criteria	19
§30. Reporting of Financial Status	20
§31. Deposit of Fidelity Guarantee Money	20
§32. Reporting to the Exchange	21
CHAPTER V. MEMBER SUPERVISION.....	22
§33. Request for Submission of Information, etc.	22
§34. Request for Corrective Actions	23
§35. Causes for taking Measures.....	23
§36. Measures against Members	24
§37. Postponement or Cancellation of Measures against Unsatisfactory Financial Conditions, etc.	25
§38. Procedures for Measures against Members, etc.	25
§39. Notification of the Measures Taken.....	26
CHAPTER VI. SUPPLEMENTARY PROVISIONS.....	26
§40. [Deleted on April 29, 2020].....	26
§41. Special Cases concerning Eligibility for Trading of Debt Securities	26
§41-2. Public Opinion Gathering	27
§42. Enforcement Rules	28
ADDENDA	29

CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of this Membership Regulation (hereinafter referred to as "the Regulation") is to stipulate the matters necessary with respect to the administration of members of the Korea Exchange (hereinafter referred to as "the Exchange"), including the membership category and qualifications, the member admission and withdrawal, and the rights and obligations of members, pursuant to Article 387 of the Financial Investment Services and Capital Markets Act (hereinafter referred to as "the Act"). (Amended on January 28, 2009)

§2. Definitions

(1) The terms used in this Regulation shall be defined as follows: (Amended on January 28, 2009; April 29, 2020)

1. The term “member” means a market participant who is allowed to trade the securities in the securities markets or exchange-traded derivative products in the Derivatives Market, which are established and operated by the Exchange, in their own name, irrespective of the owner of the account used;

1-2. The term “trading participant” means a person who participates in trading on an alternative trading system. [March 4, 2025]

2. The term “Joint Compensation Fund” means the Joint Compensation Fund for Damages prescribed in Article 394(1) of the Act and is classified into each of following items:

(a) Basic Joint Compensation Fund: The joint compensation fund that clearing members set aside in the Exchange in advance in order to compensate for damages incurred from the failure to repay the liabilities (hereinafter referred to as “settlement failure in the securities markets, etc.”) with respect to the transactions (including transactions on an alternative trading system; the same hereinafter in [§3(2)], [§13(2)], and [§21]) of securities in the securities markets and the transactions of the exchange-traded derivative products in the derivatives market; and (Amended on March 4, 2025)

(b) Additional Joint Compensation Fund: The joint compensation fund that clearing members deposit with the Exchange at once in compliance with the demand of the Exchange in cases where the basic joint compensation fund and the settlement reserve stipulated in [§54(3)1] of the Articles of Incorporation (hereinafter referred to as “settlement reserve”) fall short to fully compensate for the damages incurred from the settlement failure in the securities markets, etc.

3. The term “fidelity guarantee money” means the fidelity guarantee money of members under the provisions of Article 395 of the Act; and
 4. The term “business day” means any day other than a holiday, Saturday and Labor Day.
- (2) The terms in this Regulation, other than those defined in paragraphs (1), shall have the same meanings given to them in the Act and the regulations of the Exchange that govern the Exchange’s business. (Amended on January 28, 2009; April 29, 2020)

CHAPTER II. MEMBERSHIP CATEGORIES AND QUALIFICATIONS OF MEMBERS

§3. Membership Categories

(1) The membership of the Exchange shall be categorized into each of the following subparagraphs according to the markets and the financial investment products in which they are entitled to participate: (Amended on January 28, 2009; September 2, 2015; July 19, 2023)

1. Securities member: Any member who is entitled to take part in the trading of securities in the securities markets;
2. Equity securities member: Any member who is entitled to take part in the trading of equity securities (excluding collective investment securities) in the securities markets;
- 2-2. Collective investment securities member: Any member who is entitled to take part in the trading of collective investment securities in the securities markets;
3. Debt securities member: Any member who is entitled to take part in the trading of debt securities in the securities markets;
4. Derivatives member: Any member who is entitled to take part in the trading in the derivatives market;
5. Equity derivatives member: Any member who is entitled to take part in the trading of exchange-traded derivatives based on equity in the derivatives market; and
6. Currency-interest rate derivatives member: Any member who is entitled to take part in the trading of exchange-traded derivatives based on currencies or debt securities in the derivatives market.

(2) Members of the Exchange shall be categorized further into each of the following categories according to the extent of responsibilities that a member has in fulfilling the

settlement obligations subsequent to the trading of securities or exchange-traded derivative products: (Amended on January 28, 2009)

1. Clearing member: A member who is entitled to settle the securities and exchange-traded derivatives transactions conducted in its own name or the trades of securities and exchange-traded derivatives that have been entrusted by non-clearing members (including trading participants) in its own name. (Amended on March 4, 2025)

2. Non-clearing member: A member who is required to entrust the settlement of securities and exchange-traded derivatives trades conducted in its own name to a clearing member.

§4. Qualifications of Members

(1) An entity that is eligible to become a member of the Exchange shall be an entity that has obtained the authorization for investment trading business or investment brokerage business pursuant to Article 12(1) of the Act. (Amended on January 28, 2009)

(2) [Deleted on January 28, 2009]

CHAPTER III. MEMBER ADMISSION / WITHDRAWAL AND CONVERSION OF MEMBERSHIP

Section 1. Member Admission

§5. Application for Membership and Examination and Approval Thereof

(1) An entity that wishes to become a member of the Exchange shall file an application for each category of membership, as stipulated in the Enforcement Rules of this Regulation (hereinafter referred to as “the Enforcement Rules”. (Amended on April 29, 2020)

(2) An applicant eligible for filing the application for membership stipulated in paragraph (1) shall be the entity that has obtained the authorization or preliminary authorization for the investment trading business or investment brokerage business from the Financial Services Commission (hereinafter referred to as “the FSC”) or has submitted a request for the relevant authorization. (Amended on January 28, 2009)

(3) The Exchange shall examine whether or not the applicant satisfies the member admission criteria specified in [§6], by validating the accuracy of the details stated in the application while taking into account the opinions presented by the related institutions. (Amended on April 29, 2020)

(4) To verify the details stated in the application form and interview the managers, the Exchange may carry out a site investigation.

(5) Approval for member admission shall be made by the Board of Directors (hereinafter referred to as “the Board”). In such cases, the Board may approve the member admission with certain conditions attached.

(6) In cases where a member participating in the securities markets wishes to participate in the Derivatives Market or a member participating in the Derivatives Market wishes to participate in the securities markets, such member shall submit an application for membership pursuant to paragraph (1). (Amended on January 28, 2009)

(7) Matters relating to the application for membership and other matters necessary for member admission shall be stipulated in the Enforcement Rules. (Amended on April 29, 2020)

§6. Criteria for Member Admission

(1) To become a member, an applicant for membership shall satisfy each of following criteria, in accordance with the category of membership and the variety of securities or exchange-traded products that the relevant applicant wishes to handle: (Amended on January 28, 2009)

1. To satisfy the financial requirements specified in [§7];
2. To be equipped with adequate facilities, including computer equipment, required for efficient accomplishment of the business operation;
3. To have the adequate manpower who have the expertise and integrity necessary for conducting business; and
4. To have a sufficient social credibility.

(2) Any entity that has been expelled from membership pursuant to [§11(2)] shall not be admitted again as a member before three (3) years have elapsed from the date of such expulsion. (Amended on April 29, 2020)

(3) Detailed matters concerning admission criteria under the provisions of subparagraphs 2 through 4 of paragraph (1) and other matters necessary for member admission shall be stipulated in the Enforcement Rules. [April 29, 2020]

§7. Financial Requirements

Any entity that wishes to become a member shall meet all of the financial requirements specified in each of the following subparagraphs. Provided, That the provisions of subparagraph 2 shall not apply to non-clearing members and the financial requirements for an applicant who is a concurrently-run financial investment business entity provided in Article 8 of the Act shall be stipulated in the Enforcement Rules. (Amended on April 29, 2020; July 19, 2023)

1. Net capital ratio prescribed in Subparagraph 3 of Article 3-6 (hereinafter referred to as 'net capital ratio') of the Regulations on Financial Investment Business shall be no less than the ratio under Subparagraph 1(a) of [Table 10-2] of the same Regulations.

2. Equity capital of a member by membership categories shall be no less than the amount specified in each of following items:

(a) KRW 20 billion for securities members;

(b) KRW 10 billion for equity securities members, collective investment securities members, or debt securities members;

(c) KRW 30 billion for derivative members;

(d) KRW 20 billion for equity derivatives members or currency-interest rate derivatives members;

(e) KRW 40 billion for the members who have both of securities membership and derivatives membership;

(f) KRW 30 billion for the members who have both of securities membership and equity derivatives membership; and

(g) KRW 30 billion for the members other than items (a) through (f).

(Wholly amended on December 30, 2015)

§8. Payment and Deposit of Admission Fees, etc.

(1) An applicant who obtained an admission approval shall pay the admission fee, contribute to the Basic Joint Compensation Fund (limited to those applicants who obtained an approval for clearing membership) and deposit the Fidelity Guarantee Money under the provisions of [§31]. (Amended on December 30, 2015)

(2) The admission fee stipulated in paragraph (1) shall be determined by a resolution of the Board.

(3) The amount that an applicant who has obtained admission approval as a clearing member pursuant to paragraph (1) is required to contribute to the Basic Joint Compensation Fund shall be the basic contribution under the provisions of [§24(1)1 or (2)1]. (Amended on December 30, 2015)

§9. Admission Date, Revocation of Admission Approval and Notification Thereof

(1) Any applicant who has obtained admission approval shall become an Exchange member on the day (hereinafter referred to as “the admission date”) after the applicant have completed all admission procedures established by the Exchange, including the fulfillment of the conditions for admission pursuant to the proviso to [§5(5)], payment and deposit of the admission fee, etc. pursuant to [§8] and entry into the agreement for settlement entrustment (applies only to the non-clearing member) pursuant to [§22]. (Amended on January 28, 2009)

(2) In cases where an applicant who has obtained the admission approval has failed to fulfill the admission requirements or failed to complete the admission procedures stipulated in paragraph (1) by the date determined by the Exchange, the Exchange may withdraw the admission approval granted to such applicant.

(3) When the admission of an applicant is certain pursuant to paragraph (1), the Exchange shall notify such fact to other members. (Amended on January 28, 2009)

(4) In cases where a member whose admission has been confirmed in accordance with paragraph (1) is a clearing member of the securities market, the Exchange may notify alternative trading systems of the fact. [March 4, 2025]

Section 2. Membership Withdrawal

§10. Voluntary Withdrawal

(1) When a member intends to withdraw its membership, it shall file an application for membership withdrawal in the forms specified in the Enforcement Rules. (Amended on April 29, 2020)

(2) In cases where a member files an application for membership withdrawal pursuant to paragraph (1), the date of such withdrawal shall be the later of the days under the following subparagraphs: (Amended on April 29, 2020)

1. The day on which the period specified in the Enforcement Rules has elapsed from the date of application for withdrawal; and

2. The business day following the day on which the member has settled all unsettled transactions (including unsettled transaction contracts concluded on alternative trading systems and unpurchased agreements in the repurchase agreements market; the same hereinafter in [§14(2)]) or has closed out all open interests in the derivatives market, and has cleared any obligations established on the Exchange (including designated clearing members in the case of a non-clearing member). (Amended on March 4, 2025)

(3) In cases where, before the withdrawal date of a member who has filed an application for voluntary withdrawal under paragraph (1), a settlement failure occurs caused by other members, and the loss from the settlement failure has not been finalized until the

withdrawal date, the voluntary withdrawal member shall nevertheless be deemed a member to the extent stipulated in the Enforcement Rules. [April 29, 2020]

§11. Obligatory Withdrawal

(1) In cases where a member falls under any of the following causes, such member shall be deemed to have withdrawn its membership. In such cases, any member who falls under the cause subparagraph 1 shall be deemed to have withdrawn only from the category of membership which is related to the cause. (Amended on January 28, 2009; April 29, 2020)

1. Revocation of the authorization for investment trading business or investment brokerage business or closure or transfer of business; and

2. Dissolution.

3. [Deleted on April 29, 2020]

(2) In cases where a member has been subject to expulsion from membership pursuant to [§136(1)1], the date of withdrawal of the member shall be according to the following subparagraphs: [April 29, 2020]

1. In cases where an official objection has not been filed pursuant to [§38(4)], the next business day following the last day for filing an official objection;

2. In cases where an official objection has been filed pursuant to [§38(4)], the next business day following the day the Exchange has completed the handling of the case according to the same paragraph.

§12. Notification of Membership Withdrawal

(1) In cases where a member has withdrawn its membership pursuant to [§10] or [§11], the Exchange shall notify such facts to other members.

(2) In cases where a member who withdraws its membership pursuant to [§10] and [§11] is a clearing member of the securities market, the Exchange may notify alternative trading systems of the withdrawal. [March 4, 2025]

§13. Succession of membership

(1) In cases where a member withdraws its membership as a result of a merger, split-off, split-and-merger, or business transfer (hereinafter referred to as “merger, etc.”), upon obtaining the approval of the Exchange, the company succeeding the business as a result of each relevant event of the merger, etc. may succeed the membership of the withdrawing member. In such cases, surviving company, newly incorporated company

or the company taking over the business that is not a member shall be deemed to have been admitted as a member. (Amended on December 30, 2015; April 29, 2020)

(2) In the case of succeeding the membership pursuant to the provisions of paragraph (1), it shall be deemed that any unsettled securities trades or unsettled exchange-traded derivative trades of the member who has withdrawn its membership as a result of each of the merger, etc. have been carried out by the company succeeding the business as a result of each of the merger, etc. (Amended on January 28, 2009; April 29, 2020)

(3) In cases where the Exchange approves the succession of status of a clearing member of the securities market pursuant to paragraph (1), it may notify alternative trading systems of the fact. [March 4, 2025]

§14. Trading Suspension and Settlement of Unsettled Trades

(1) In cases where a member has filed an application for voluntary withdrawal pursuant to [§10(1)] or any of the causes for obligatory membership withdrawn under [§11] has occurred, the Exchange shall suspend the relevant member from trading of securities or exchange-traded derivatives products from the following day. (Amended on January 28, 2009; December 30, 2015; April 29, 2020)

(2) In cases where a member has been suspended from trading securities or exchange-traded derivative products pursuant to paragraph (1), the Exchange shall settle the unsettled trades of the relevant member by transferring the rights and obligations relating to such unsettled trades to another member or by making other arrangement which the Exchange deems it necessary. (Amended on January 28, 2009; December 30, 2015)

(3) In cases where the Exchange suspends trading of a clearing member of the securities market pursuant to paragraph (1), it may notify alternative trading systems of the fact. [March 4, 2025]

§15. Refund and Takeover of Joint Compensation Fund

(1) In cases where a member who has withdrawn its membership is a clearing member, the Exchange shall refund the amount that the relevant member contributed to the Joint Compensation Fund within twenty (20) days from the withdrawal date. Provided, That, in cases where a natural disaster, warfare, disturbance, sudden and significant change in economic condition, or other incidents similar thereto have occurred, the date of refund may be set differently, and where the withdrawn member owes an outstanding balance to the Exchange, the Exchange shall use the contribution of the withdrawn member to pay off the outstanding balance first, and refund the remaining amount. (Amended on December 30, 2015; April 29, 2020)

(2) In cases where a member has withdrawn its membership, the Exchange shall refund the Fidelity Guarantee Money of the withdrawn member within twenty (20) from the

withdrawal date. In such cases, the proviso to paragraph (1) shall apply *mutatis mutandis*. (Amended on December 30, 2015)

(3) In cases where the membership of a member has been taken over pursuant to [§13], notwithstanding paragraph (1), it shall be deemed that the Joint Compensation Fund of the relevant member is transferred to the surviving company, the company newly incorporated after the merger or the company taking over the business. (Amended on December 30, 2015)

Section 3. Conversion of Membership Category

§16. Application, Examination and Approval of Membership Conversion

(1) When intending to make a conversion of membership categories, which falls under any of the following subparagraphs, members shall file an application for membership conversion in the forms specified by the Exchange. (Amended on January 28, 2009; January 27, 2012; September 2, 2015; April 29, 2020)

1. Conversion from non-clearing membership to clearing membership or vice versa; and
2. Conversion between the membership categories under subparagraphs 1 through 6 of [§3(1)].
3. [Deleted on April 29, 2020]

(2) The provisions of paragraphs (2) through (4) of [§5] shall apply *mutatis mutandis* to the case of examining the application for membership conversion. (Amended on April 29, 2020)

(3) [Deleted on April 29, 2020]

§17. Criteria for Membership Conversion

A member who wishes to convert its membership category from non-clearing member to clearing member shall satisfy the criteria stipulated in [§6] that are applicable to the clearing member. (Amended on January 28, 2009)

§18. Payment, Deposit and Refund of Conversion Fees, etc.

(1) Any non-clearing member who has obtained an approval for membership conversion to a clearing member shall pay to or deposit with the Exchange the amounts specified in each of the following subparagraphs: (Amended on January 28, 2009; December 30, 2015)

1. Conversion fee: The amount obtained by subtracting the admission fee for non-clearing member from the admission fee for clearing member as of the date when the membership conversion was approved.

2. Basic Joint Compensation Fund: The amount calculated by applying *mutatis mutandis* [§24(1) or (2)] as of the date when the membership conversion was approved. In such cases, “the relevant clearing member” in [§24(1)2] shall be construed as “the relevant non-clearing member” and “average daily maintenance margin of the relevant clearing member” in [§24(2)2] shall be construed as “average daily margin deposited with the clearing member by the relevant non-clearing member”.

(2) The Exchange shall refund the amount that a clearing member, who has obtained the approval for membership conversion to a non-clearing member, contributed to the Basic Joint Compensation Fund as of the conversion date pursuant to [§19(1)] to the relevant clearing member within twenty (20) days from the conversion date. (Amended on January 28, 2009; December 30, 2015)

(3) In the case of conversion between the membership categories pursuant to [§16(1)2], the balance of admission fee (excluding the refund) and the Basic Joint Compensation Fund shall be paid to the Exchange or the Exchange shall refund the balance to the member. [January 28, 2009] (Amended on January 27, 2012; December 30, 2015; March 4, 2025)

§19. Conversion Date, Cancellation of Conversion Approval and Notification Thereof

(1) Membership conversion shall become effective on the day (hereinafter referred to as “the conversion date”) after a member who has obtained an approval for membership conversion has satisfied the criteria for membership conversion stipulated in the proviso to [§16(3)] and all procedures for membership conversion as established by the Exchange have been completed, including the payment and deposit of conversion fee, etc. pursuant to [§18(1)] and the entry into an agreement for settlement entrustment (applied only to the case of converting the membership into non-clearing member) pursuant to [§22]. (Amended on January 28, 2009)

(2) In cases where a member who has obtained an approval for membership conversion has failed to meet the conversion criteria or failed to complete the conversion procedures by the date determined by the Exchange, the Exchange may withdraw the approval for membership conversion.

(3) When the membership conversion is finalized pursuant to paragraph (1), the Exchange shall notify such fact to other members. (Amended on January 28, 2009)

(4) In cases where a conversion to a clearing member of the securities market or a non-clearing member is confirmed pursuant to paragraph (1), the Exchange may notify alternative trading systems of the fact. [March 4, 2025]

CHAPTER IV. RIGHTS AND OBLIGATIONS OF MEMBERS

Section 1. Securities and Exchange-traded Derivatives Trading

§20. Scope of Market Participation

(1) Members shall be entitled to participate in trading of securities or exchange-traded derivatives within the scope of investment trading business or investment brokerage business for which they have obtained the authorization from the FSC. (Amended on January 28, 2009; September 2, 2015)

(2) With regard to subparagraph 1, the types of debt securities or types of currency products or interest rate products that the debt securities members or currency-interest rate members, who are the concurrently-run financial investment business entities under Article 8 of the Act, are entitled to trade shall be stipulated in the Enforcement Rules. [September 2, 2015] (Amended on April 29, 2020)

(3) Notwithstanding paragraph (1), securities members and debt securities members are entitled to take part in the trading of repurchase agreement (hereinafter referred to as “Repo”) pursuant to Article 7(6)4 of the Act and Article 7(4)3 of the Enforcement Decree of the Act. In such cases, the relevant trading shall be deemed to be a trading of members. [November 20, 2019] (Amended on July 19, 2023)

(4) The range of collective investment securities that collective investment securities members are entitled to participate in trading shall be stipulated in the Enforcement Rules. [July 19, 2023]

§21. Settlement of Securities and Exchange-traded Derivative Trades

(1) With regard to the settlement of securities trades executed in the securities markets, or the settlement of exchange-traded derivatives trades executed in the Derivatives Market, the Exchange shall settle the trades by assuming the obligations that a clearing member has to other clearing members under the novation agreement, and at the same time, the relevant clearing member, in turn, assuming for the Exchange the same obligations that the Exchange has assumed for it. (Amended on January 28, 2009)

(2) In accordance with the details of the settlement entrustment agreement, it shall be deemed that the clearing members assume the rights and obligations of non-clearing members with regard to the settlement of the securities or exchange-traded derivatives trades, and at the same time, the non-clearing members assume for the clearing members the same rights and obligations that the clearing members have assumed. (Amended on January 28, 2009)

(3) A clearing member shall be prohibited to authorize the third party to settle the securities or exchange-traded derivatives trades. Provided that, this provision shall not

apply to the cases of the entrustment to the party and according to the methods stipulated in the business regulations of the Exchange. (Amended on January 28, 2009)

§22. Entry into Settlement Entrustment Agreement

(1) A non-clearing member shall enter into a settlement entrustment agreement with a clearing member who conducts the same type of trading. (Amended on January 28, 2009)

(2) The settlement entrustment agreement shall cover the matters specified in each of the following subparagraphs: (Amended on January 28, 2009)

1. Names of the non-clearing member and clearing member; (Amended on January 28, 2009)

2. Term of settlement entrustment agreement;

3. Types of transactions to be entrusted for settlement;

4. Settlement method and deadline;

5. Matters relating to the good faith deposit that the non-clearing member deposits with the clearing member;

6. Matters relating to the measures that the clearing member takes, such as the trading restriction, disposal of the possessions held such as the cash or securities, etc., in cases where the non-clearing member fails to fulfill the settlement obligations for the clearing member;

7. Matters relating to the expenses, including the commission for settlement; and

8. Other matters necessary for the settlement entrustment.

(3) In cases where a member intends to enter into an agreement for settlement entrustment or to amend or terminate the existing agreement, such member shall report its intension to the Exchange in advance according to the manner stipulated in the Enforcement Rules. (Amended on December 30, 2015)

(4) If a clearing member intends to receive the settlement entrustment from a trading participant, it shall enter into an agreement for settlement entrustment. In this case, paragraphs (2) and (3) shall apply *mutatis mutandis*. [March 4, 2025]

§22-2. Limitation of Responsibility of Non-defaulting Clearing Members during Cap Periods

Clearing members (hereinafter referred to as “non-defaulting clearing members”) other than those who committed a settlement failure in the securities markets, etc. (hereinafter referred to as “defaulting clearing members”) shall assume the responsibilities within the amount of contribution to the Basic Joint Compensation Fund and the Additional Joint Compensation Fund pursuant to [§24] with regard to the damages incurred from the settlement failure in the securities markets, etc., during the period specified in the Enforcement Rules (hereinafter referred to as “cap period”).

[December 30, 2015]

§23. Contribution to Joint Compensation Fund

(1) Clearing members shall make contributions to the Joint Compensation Fund of the Exchange in a way specified in each of following subparagraphs: (Amended on December 30, 2015; December 5, 2018)

1. To the basic joint compensation fund:

Contributions to the basic joint compensation fund shall be made pursuant to [§8(1)] or [§18(1)2], and the amount of contribution to the basic joint compensation fund calculated pursuant to [§24] on the first business day of each month or on the date specified in the Enforcement Rules (hereinafter referred to as “calculation date of the basic joint compensation fund”) shall be set aside in the Exchange by the end of the period specified in the Enforcement Rules (hereinafter referred to as “period of contribution to the basic joint compensation fund”). Provided, That this provision shall not be applicable in cases where the cap period starts or ends during the period of contribution to the basic joint compensation fund.

2. To the additional joint compensation fund:

In cases where the Exchange demands clearing members for contributions to the additional joint compensation fund, the contributions shall be made by 16:00 hour on the 3rd trading day counting from the day when the relevant demand was made.

(2) The Exchange may have non-defaulting clearing members make contributions to the basic joint compensation fund that were supposed to be made by defaulting clearing members, in proportion to the ratios of contributions to the basic joint compensation fund of individual clearing members. (Amended on December 30, 2015)

(3) The Exchange shall accumulate the joint compensation fund separately for the securities markets (including trading on alternative trading systems; the same hereinafter in [§23], [§24(1)2] and [§25]) and the derivatives market. In such cases, the Exchange shall manage the joint compensation fund separately from other properties of the Exchange. (Amended on December 30, 2015; Amended on March 4, 2025)

(4) The size of the total accumulation of the joint compensation fund for each of the securities market and the derivatives market shall be the amounts specified in each of

the following subparagraphs. Provided, this provision shall not apply to the cases where the size of total accumulation temporarily exceeds or falls below the amounts specified in each of the following subparagraphs due to admission or withdrawal of clearing members or the conversions from clearing membership to non-clearing membership. (Amended on December 30, 2015)

1. Total accumulation of the basic joint compensation funds: The total amount of accumulation of the basic joint compensation fund for each of the securities market and the derivatives market shall be as follows:

(a) Total amount of accumulation of the basic joint compensation fund of the securities market: The larger amount between the followings: (Amended on March 4, 2025)

(i) The sum of the total amount of the basic contributions of the securities markets specified in [§24(1)1] and the amount of the basic joint compensation fund contributed by debt securities members pursuant to [§24(3)]; and [March 4, 2025]

(ii) the amount specified in the Enforcement Rules within the amount calculated by the stress testing in the securities markets. [March 4, 2025]

(b) Total amount of accumulation of the basic joint compensation fund of the derivatives market:

The larger between the total amount of the basic contributions of the derivatives market specified in [§24(2)1] and the amount specified in the Enforcement Rules within the amount calculated by the stress testing in the derivatives market.

2. Total accumulation of the additional joint compensation fund: The total amount of accumulation of the additional joint compensation fund shall be the amount set by the Exchange within the total accumulation of the basic joint compensation fund for each of the securities markets and the derivatives market at the time before the cap period commences.

(5) The categories of assets by which clearing members can make contributions to the joint compensation funds shall be classified as follows: (Amended on December 30, 2015)

1. Basic joint compensation funds: Cash, government bonds or monetary stabilization bonds listed on the KOSPI market; and

2. Additional joint compensation fund: Cash.

(6) The proceeds accrued from the operation of each of the basic joint compensation funds accumulated by cash contributions shall be added in the original contribution after dividing them proportionately according to the cash contribution ratios of individual

clearing members contributing to the relevant basic joint compensation fund as of the end of each quarter. [December 1, 2010] (Amended on December 30, 2015)

(7) In the case of making a contribution to the basic joint compensation funds by government bonds or monetary stabilization bonds, the contribution shall be made in such manner that the Exchange establishes a right of pledge on the government bonds or the monetary stabilization bonds, which are electronically registered in the proprietary account books of account management institutions, etc. of clearing members opened in the Korea Securities Depository, as prescribed in the Act on Electronic Registration of Stocks, Bonds, Etc., and the withdrawal shall be made by way of deleting the relevant right of pledge. [December 1, 2010] (Amended on December 30, 2015; April 29, 2020)

(8) No member can transfer the right to claim the refund of basic joint compensation funds to a third party or provide it as collateral. (Amended on December 30, 2015)

(9) Matters necessary for the management and operation of basic joint compensation funds shall be stipulated in the Enforcement Rules. (Amended on December 30, 2015)

§24. Contribution by Individual Clearing Member to Joint Compensation Fund

(1) The basic joint compensation fund that securities members, equity securities members, and collective investment securities members, who are clearing members, are required to accumulate shall be the sum of the amounts specified in each of the following subparagraphs. In such cases, if the fractional amount is less than KRW 10, amounts less than KRW 5 shall be disregarded and amounts of KRW 5 or more shall be rounded up to KRW 10. (Amended on December 30, 2015; March 4, 2025)

1. Basic contribution: KRW 1 billion; and

2. Variable contribution: The amount [if the amount is below zero (0), it shall be zero (0)] calculated by subtracting the amount of the basic contributions specified in subparagraph 1 from the amount calculated by multiplying the amount obtained by deducting the sum of basic joint compensation fund contributed by debt securities members pursuant to paragraph (3) from the total accumulation of the basic joint compensation fund of the securities markets specifies in [§23(4)1a] by the ratio of average daily member margin in the securities markets of the relevant clearing member to the average daily member margin (hereinafter referred to as the “average daily member margin in the securities markets” in this subparagraph) of all the clearing members, who are obliged to make contributions to the basic joint compensation fund, for a period of one (1) year immediately preceding the calculation date of the basic joint compensation fund. (Amended on September 22, 2025)

(2) The amount that a clearing member of the derivatives market is obliged to contribute to the basic joint compensation fund shall be the sum of the amounts specified in each of the following subparagraphs. In such cases, the latter part of the main sentence in

paragraph (1) shall apply *mutatis mutandis*. (Amended on J December 30, 2015; March 4, 2025)

1. Basic contribution: KRW 1 billion (for currency-interest rate derivatives members, KRW 500 million);

2. Variable contribution: The amount (in case where the amount is below zero (0), it shall be zero (0)) calculated by subtracting the amount of the basic contributions specified in subparagraph 1 from the amount obtained by multiplying the total accumulation of the basic joint compensation fund of the derivatives market specifies in [§23(4)1b] by the ratio of average daily member margin in the derivatives market of the relevant clearing member to the average daily member margin in the derivatives market of all the clearing members (hereinafter referred to as the “average daily member margin in the derivatives market” in this subparagraph), who are obliged to make contributions to the basic joint compensation fund, for a period of one (1) year immediately preceding the calculation date of the basic joint compensation fund. (Amended on September 22, 2025)

(3) The basic joint compensation fund to which debt securities members are required to contribute shall be stipulated in the Enforcement Rules. (Amended on January 28, 2009; December 30, 2015)

(4) In cases where the sum of the amounts of basic joint compensation fund of the securities markets or the derivatives market contributed by individual clearing members exceeds the total accumulation of basic joint compensation fund of the relevant market, the excess amount may be deducted from the additional contribution of the relevant clearing member after dividing it in proportion to the portions of additional contributions of individual clearing members of the relevant market. [December 30, 2015]

(5) The amount of additional joint compensation fund that a clearing member of the securities markets or the derivatives market is obliged to contribute shall be determined by the Exchange within the amount of contribution to the basic joint compensation fund that the Exchange has lastly notified to the relevant clearing member before the cap period commenced. [December 30, 2015]

§24-2. Re-contribution to Basic Joint Compensation Fund, etc.

(1) The Exchange may, when the cap period ended, request clearing members to re-contribute to the basic joint compensation funds even before the next calculation date of the basic joint compensation fund arrives, in order to compensate for the damages incurring from any new settlement failure in the securities markets, etc.

(2) In cases where a clearing member was requested by the Exchange to make re-contribution to the basic joint compensation fund, the relevant clearing member shall make the re-contribution by the date set in the Enforcement Rules counting from the date when the request was made.

(3) The provisions of [§23(2)] shall apply *mutatis mutandis* to the matters concerning defaulting members' re-contribution to basic joint compensation funds.

(4) Methods of calculation of the amount of re-contribution to basic joint compensation funds and other necessary matters shall be stipulated in the Enforcement Rules.

[December 30, 2015]

§25. Use of Joint Compensation Fund, etc.

(1) The Exchange shall use the amount of basic joint compensation fund of the securities markets contributed by a defaulting member, together with the Fidelity Guarantee Money and good faith deposit that the defaulting member deposited with the Exchange and any cash due to the defaulting member, to compensate for the damages incurred from settlement failure of the defaulting member in the securities markets. (Amended on December 30, 2015)

(2) The Exchange shall use the amount of basic joint compensation fund of the derivatives market contributed by a defaulting member, together with the Fidelity Guarantee Money and margins that the defaulting member deposited with the Exchange and any cash due to the defaulting member, to compensate for the damages incurred from settlement failure of the defaulting member in the derivatives market. (Amended on December 30, 2015)

(3) In cases where the damages cannot be fully compensated by the ways stipulated in paragraph (1) or (2), the Exchange shall compensate for the damages using the settlement reserve accumulated by the Exchange within the amount that the board of directors sets in advance. [December 30, 2015]

(4) In cases where the damages cannot be fully compensated pursuant to paragraph (3), the Exchange shall compensate for the damages using the basic joint compensation fund of the securities markets or the derivatives market where a settlement failure has occurred, which was contributed by non-defaulting clearing members. In such cases, the amount borne by non-defaulting clearing members shall be proportional to the amount of contribution each member made. (Amended on January 28, 2009; December 30, 2015)

(5) In cases where the damages cannot be fully compensated pursuant to paragraph (4), the Exchange shall compensate for the damages using the amount of settlement reserve that remains after being used pursuant to paragraph (3). (Amended on December 30, 2015)

(6) In cases where the damages cannot be fully compensated pursuant to paragraph (5), the Exchange shall compensate for the damages using the additional joint compensation fund contributed pursuant to [§23(1)2]. In such cases, the amount borne by non-

defaulting clearing members shall be proportional to the amount of additional joint compensation fund contributed by individual clearing members. [December 30, 2015]

(7) In cases where the damages cannot be fully compensated pursuant to paragraph (6), the Exchange shall compensate for the damages using the assets of the Exchange. [December 30, 2015]

(8) When compensating for the damages pursuant to the provisions of paragraph (1) or (2), the Exchange may first use the basic joint compensation fund of the securities markets or the derivatives market where the settlement failure has occurred, which was contributed by non-defaulting clearing members or the assets of the Exchange, to facilitate the settlement. In such cases, the Exchange shall replenish the used portion with the financial resources stipulated in paragraph (1) or (2) without delay. (Amended on January 28, 2009; December 30, 2015)

(9) When compensating for the damages pursuant to the provisions of paragraphs (1), (2) and (4), the Exchange shall dispose the government bonds and the monetary stabilization bonds contributed to the basic joint compensation funds in a manner set by the Exchange. [February 11, 2015] (Amended on December 30, 2015)

(10) The extent of damages that are compensated pursuant to paragraphs (1) through (6) shall be all the damages incurred from the settlement failure in the securities markets, etc. that has occurred during cap periods. [December 30, 2015]

§25-2. Exercise of Claim for Reimbursement and Order of Distribution of Reimbursement, etc.

(1) The Exchange shall, when it has compensated defaulting clearing members for damages pursuant to [§25], exercise the claims for reimbursement against the defaulting clearing members.

(2) The Exchange shall distribute the amount collected by exercising the claims for reimbursement pursuant to paragraph (1) to the Exchange's assets, settlement reserve, joint compensation funds and expenses spent out for the compensation of damages, etc., in the order of each of following subparagraphs:

1. The amount equivalent to the portion of the Exchange's assets that was used for the compensation of damages pursuant [§25(7)];

2. The portion of additional joint compensation fund that was used for the compensation of damages pursuant to [§25(6)]. In such cases, the amount to be replenished for each clearing member shall be proportional to the portion of the additional joint compensation fund of each clearing member that was used for the compensation of damages;

3. The portion of settlement reserve that was used for the compensation of damages pursuant to [§25(5)];

4. The portion of basic joint compensation fund of non-defaulting clearing members that was used for the compensation of damages pursuant to [§25(4)]. In such cases, the amount to be replenished for each clearing member shall be proportional to the portion of the basic joint compensation fund of each clearing member that was used for the compensation of damages;
5. The portion of settlement reserve that was used for the compensation of damages pursuant to [§25(3)];
6. The expenses that were spent for the compensation of damages, etc.; and
7. The portion of basic joint compensation fund of defaulting clearing members that was used for the compensation of damages pursuant to [§25(1) or (2)].

[December 30, 2015]

§26. Payment of Transaction Fees

In relation with the securities or Exchange-traded derivatives trading, a member shall pay the transaction fees, which is determined by the Board, to the Exchange. (Amended on January 28, 2009)

Section 2. Obligations of Member

§27. Compliance with Laws and Regulations

The members shall comply with the Act, this Regulation and the regulations of the Exchange, including the business regulations concerning the trading of securities or exchange-traded derivatives products, and the measures or disciplinary actions taken pursuant to those laws and regulations. (Amended on January 28, 2009)

§28. Principles of Good Faith

In connection with the trading of securities and exchange-traded derivatives, the members shall not undertake any action that would undermine the fair trading order or shall not act against the principle of good faith. (Amended on January 28, 2009)

§29 Observing the Admission Criteria

Each member shall meet the admission criteria under the provisions of [§6] and [§7] on an on-going basis. (Amended on January 28, 2009; October 29, 2014)

§30. Reporting of Financial Status

(1) The members shall submit to the Exchange the reports on net capital ratio, business reports, financial statements and any other documents on the financial status stipulated in the Enforcement Rules. (Amended on January 28, 2009; October 29, 2014; December 30, 2015)

(2) In cases where a member fails or may possibly fail to meet the financial requirements stipulated in [§7], the relevant member shall report such fact to the Exchange within three (3) trading days from the day it has occurred. In such cases, such member shall submit a daily report on the amount entrusted by customers, the amount receivable from customers, the changes in valuation profit and loss and any other matters that the Exchange deems them necessary. (Amended on January 28, 2009; January 27, 2012; October 29, 2014; December 30, 2015)

1. [Deleted on December 30, 2015]

2. [Deleted on December 30, 2015]

(3) The Exchange may request members who fall under paragraph (2) to increase the capital, dispose the assets or undertake the actions that the Exchange deems necessary. In such cases, the relevant member shall report the outcome of the actions taken in accordance with the action requested without delay.

(4) In cases where a member has been identified as an insolvent financial institution or insolvency-threatened financial institution by the FSC or the Deposit Insurance Committee pursuant to Article 2 of the Act on the Structural Improvement of the Financial Industry or Article 2 of the Depositor Protection Act, or a member has been requested to take the timely corrective measures or has been informed of the stay of timely corrective measures pursuant to the Act and the Act on the Structural Improvement of the Financial Industry, the relevant member shall report the matters relating to such fact to the Exchange without delay. (Amended on January 28, 2009)

(5) In addition to paragraphs (1) through (4), the matters necessary for the management of financial soundness shall be stipulated in the Enforcement Rules.

§31. Deposit of Fidelity Guarantee Money

(1) Each member shall deposit with the Exchange the fidelity guarantee money that is determined by the Board while setting KRW 1 million as the minimum, for each of the equity market and derivatives market. (Amended on January 28, 2009; January 27, 2012)

(2) The members shall be prohibited from transferring the rights to claim the refund of fidelity guarantee money to a third party or providing it as collateral.

(3) The matters relating to the operation and management of fidelity guarantee money shall be determined by the Exchange.

§32. Reporting to the Exchange

(1) If any of the following apply, a member shall report the details of the facts or decisions (referring to the resolutions made at the board meeting or general shareholders' meeting or the decisions of the representative director) to the Exchange without delay. (Amended on January 28, 2009; September 2, 2015; December 30, 2015; April 29, 2020)

1. Has defaulted on payment or is likely to default on payment;
2. Checks or bills issued have been dishonored, or the transaction with banks has been suspended or prohibited;
3. An application for commencement of rehabilitation procedures has been filed, or a decision to commence or terminate the commencement of rehabilitation procedures has been made (in the case of foreign companies, it shall include the case corresponding thereto in accordance with the laws of the foreign country.);
4. An application for bankruptcy has been filed;
5. The causes for company dissolution have occurred;
6. Has been subject to measures such as revocation of the authorization for investment trading business or investment brokerage business, or suspension of business;
7. Operations of the head office (in the case of a foreign member, it shall refer to branch offices or sales offices in Korea, which obtained authorization for financial investment business in Korea) has been suspended, resumed or closed;
8. A change of business objectives, change in capital stock (in the case of branch offices of a foreign investment trader or investment broker, it shall refer to the operating funds), merger, business closure, or transfer or acquisition of the entire business or an important part of business has occurred;
9. A significant damage has occurred, or it became difficult to carry out normal business operations as a result of natural disasters or computer failure;
10. The largest shareholder has changed;
11. The name of the company has been changed;
12. [Deleted on April 29, 2020]

13. The representative officer or the chief executive officer (in the case of branch offices or sales offices of a foreign member, it shall refer to their representatives) has been substituted;

14. Becomes a party in a lawsuit which may have a material impact on its business;

15. Has been fined for defaulting on tax payment or a penalty has been imposed for violation of tax laws;

16. The member or any of its officers has been disciplined as a result of violating the Act or the directives issued by the administrative agencies pursuant to the Act;

17. Has been admitted or withdrawn as a member of an overseas securities or derivatives exchange and become subjected to measures such as trading suspensions by the relevant overseas exchange;

18. [Deleted on April 29, 2020]

19. If any of the following events occurs in relation to the participation in trading on alternative trading systems: (Amended on March 4, 2025)

(a) Has joined or withdrawn as a trading participant; [March 4, 2025]

(b) All or part of trading, as a trading participant, is permanently or temporarily suspended, as a disciplinary case such as expulsion, trading suspension, or other similar cases in accordance with the business standards, etc. of alternative trading systems. [March 4, 2025]

20. Other events that have a significant impact on the relevant member's business performance have occurred. [March 4, 2025]

(2) In cases where the matters to be reported pursuant to paragraph (1) are the matters to be disclosed pursuant to the KOSPI Market Disclosure Regulation or the KOSDAQ Market Disclosure Regulation, the reporting pursuant to paragraph (1) may be replaced by the disclosure on the relevant matter. (Amended on December 30, 2015)

CHAPTER V. MEMBER SUPERVISION

§33. Request for Submission of Information, etc.

(1) In the event that a member falls under any of the following cases, the Exchange may request the relevant member to submit a report on its business or asset details or may inspect the business or assets of the relevant member:

1. Where it is deemed necessary to prove that a member complies with the directives or the member obligations pursuant to this Regulation;
 2. Where it is deemed necessary to ascertain the financial status of a member; and
 3. Other cases where it is deemed necessary for the market management.
- (2) Upon receiving a request for submission of information pursuant to paragraph (1), the member shall comply with the request without delay.

§34. Request for Corrective Actions

- (1) In cases where the business or asset details of member is deemed to be inadequate in the light of the objectives of the Exchange or this Regulation and the business regulations of the Exchange, the Exchange may request the relevant member to implement a corrective measure.
- (2) Each member shall report to the Exchange the outcome of the actions taken upon receiving the request for corrective action pursuant to paragraph (1) without delay.

§35. Causes for taking Measures

In cases where a member or its officers or employees fall under any of the followings, the Exchange may take the measures under the provisions of [§36]: (Amended on October 12, 2007; January 28, 2009; April 29, 2020)

1. Where the membership under [§4] has been obtained or the admission to membership has been achieved through unlawful means;
2. Where it fails to fulfill the settlement obligations for trades executed (including the cases where a non-clearing member failed to fulfill its obligation to a clearing member) or failing to make the payment or deposit the cash or securities that are due to the Exchange according to the procedures established by the Exchange;
3. Where it fails to meet the financial requirements under the provisions [§29];
4. Case of violation of the Act and subordinate statutes (in the case of a foreign investment trader or a foreign investment broker, it shall include the act and subordinate statutes of its home country), the disposition taken by the administrative agencies thereby, this Regulation and the measures taken thereunder;
5. [Deleted on October 12, 2007]
6. Where it has failed to fulfill the settlement obligations for the trades executed in OTC markets (including overseas OTC markets); and

7. Where the investment trading business or investment brokerage business, in whole or in part, has been suspended pursuant to Articles 420 and 421 of the Act and other relevant financial laws (for branch offices or other sales offices of a foreign financial investment trader, it shall include the case where the relevant foreign financial investment trader has been subject to suspension of business equivalent to the investment trading business or investment brokerage business, in whole or in part).

§36. Measures against Members

(1) In cases where the conducts of a member fall under any of the cases noted in [§35], the Exchange may take measures noted in each of the following subparagraph against the relevant member. (Amended on January 27, 2012; April 29, 2020)

1. Expulsion from membership;
2. [Deleted on April 29, 2020]
3. Suspension of trading privileges completely or partially for not more than six (6) months;
4. Imposition of member fine not more than one (1) billion won;
5. Issuance of a warning; and
6. Issuance of a caution.

(2) In cases where the conducts of a member fall under to any of the cases under [§35], the Exchange may demand the relevant member to take any of the following disciplinary measures against its officers and employees:

1. For officers: Dismissal, suspension of his/her duties, or issuance of a warning or caution; and
2. For employees: Dismissal, suspension of his/her duties, reduction of salary, reprimand or issuance of a warning or caution;

(3) The measures or request for disciplinary measures against officers and employees pursuant to paragraphs (1) and (2) shall be taken in accordance with the decisions of the Board. Provided, That this provision shall not be applicable for the measures taken against a member pursuant to subparagraphs 6 and 7 of [§35] and the demand for issuance of a warning or caution to its officers and employees pursuant to paragraph (2).

(4) In cases where a member who has been subject to member fine under paragraph (1)4 has failed to make the payment by the payment deadline, such member shall be imposed the fine that is the sum of the original amount and the amount calculated by multiplying 1/1,000 and the number of days overdue by the original amount. (Amended on December 30, 2015)

(5) In cases where the Exchange imposes any of the disciplinary measures under subparagraphs 3 through 6 of paragraph (1) against a member, it may also request the member to take the disciplinary action against the member's executives and employees noted in paragraph (2) concurrently. (Amended on March 4, 2025)

§37. Postponement or Cancellation of Measures against Unsatisfactory Financial Conditions, etc.

(1) In cases where it is certain that through the capital increase or sales of assets, a member is able to meet the financial requirements pursuant to [§29] or it is judged that a member would be able to meet the criteria within a short period of time, the Exchange may suspend the actions pursuant to [§36(1)] for a fixed period as per the decision of the Board. (Amended on August 26, 2005)

(2) In cases where it has been confirmed that the member has satisfied the financial requirements within the period of trading suspension noted in [§36(1)3], the Exchange may terminate the measures imposed on the member by the resolution of the Board. (Amended on January 27, 2012; March 4, 2025)

(3) Notwithstanding paragraph (1), when it is judged that it is clearly difficult for the member to recover from the unsatisfactory financial condition during the grace period of the measure against the member, the Exchange may terminate the grace period granted pursuant to paragraph (1) according to the board decision and take an action pursuant to [§36(1)]. [January 27, 2012]

(4) When imposing a measure pursuant to [§36(1)] to the member with regard to failing to meet the financial requirements, the Exchange may grant a supplementary period for improvement of financial condition. [January 27, 2012]

(5) With respect to the measures against unsatisfactory financial conditions and postponement and cancellation, etc. of the measures, necessary matters including criteria for taking measures and criteria for postponement and cancellation of the measures, and the methods of granting the period for improvement shall be stipulated in the Enforcement Rules. [September 2, 2015]

§38. Procedures for Measures against Members, etc.

(1) In cases where any of the causes for measures under [§35] has occurred, the Exchange shall notify the relevant member of such fact. Provided, That this provision shall not be applicable in cases where the cause for measures under subparagraph 7 of [§35] has occurred. (Amended on January 27, 2012; April 29, 2020)

(2) Each member may submit an opinion statement within seven (7) days of receiving the notification of the occurrence of the cause for measures pursuant to paragraph (1). In such cases, a member falling under the causes for imposition of measures under

subparagraph 3 of [§35] shall attach a plan for financial condition improvement to the opinion statement. [January 27, 2012]

(3) The Exchange shall complete the handling of the measures against members within one (1) month from the date of notification [in the case of falling under the proviso to paragraph (1), the date on which occurrence of the cause for measures has been confirmed by the Exchange] of the fact on occurrence of the cause for measures pursuant to paragraph (1). [January 27, 2012] (Amended on April 29, 2020)

(4) In cases where a member has been subject to the measures under [§36] has an objection to the measure taken, such member may file an official objection within seven (7) business days from the date of receiving the relevant notice. In such cases, the Exchange shall complete the handling of the case within one (1) month of receiving such official objection, except in extenuating circumstances. (Amended on January 27, 2012; April 29, 2020)

(5) No member can file official objection again for the matters processed according to the official objection under paragraph (4). (Amended on January 27, 2012)

(6) Matters necessary for the plan for financial condition improvement under paragraph (2) and filing of official objections under paragraph (4) shall be stipulated in the Enforcement Rules. (Amended on January 27, 2012)

§39. Notification of the Measures Taken

(1) In cases where measures such as expulsion from membership or suspension of trading in whole or in part have been taken against a member pursuant to [§36(1)] or the measures taken have been terminated, the Exchange shall notify such facts to other members without delay. (Amended on January 28, 2009; March 4, 2025)

(2) In cases where the matters notified pursuant to paragraph (1) are related to clearing members of the securities market, the Exchange may notify such matters to alternative trading systems. [March 4, 2025]

CHAPTER VI. SUPPLEMENTARY PROVISIONS

§40. [Deleted on April 29, 2020]

§41. Special Cases concerning Eligibility for Trading of Debt Securities

(1) Only the clearing members may participate in the trading of debt securities. (Amended on January 28, 2009)

(2) Notwithstanding paragraph (1) and [§4(1)], any entity that falls under each of the following subparagraphs may participate in the trading of bonds specified in the

Enforcement Rules, pursuant to the proviso to Article 388(1) of the Act: (Amended on November 20, 2019; July 19, 2023)

1. The Government and the Bank of Korea;

2. A securities finance company that is eligible for the trading of Repos under Article 326(2)1 of the Act and Article 320 of the Enforcement Decree of the Act (hereinafter in this Article referred to as “securities finance company”), which are the institutions engaged in the financing business for the primary dealers pursuant to the “Regulation on Issuance of Korea Treasury Bonds and Operation of Primary Dealer System” of the Ministry of Strategy and Finance; and

3. Any entity that falls under any item of Article 7(4)3 of the Enforcement Decree of the Act {excluding securities members who are the clearing members, debt securities members, and the securities finance companies; hereinafter referred to as “Repo trading participants”}.

(3) For the entities falling under each subparagraph of paragraph (2), only the provisions specified in the following subparagraphs shall apply: [November 20, 2019]

1. For the Government and the Bank of Korea: [§27] and [§28];

2. For the securities finance companies: [§8] and [§9] (excluding the matters about the admission fees), [§15], [§21], [§22-2], [§23], [§24] (limited to the matters concerning debt securities members), [§24-2], [§25], [§25-2], [§27], [§28] and [§31]. In such cases, securities finance companies shall be deemed as debt securities members who are clearing members.

3. For Repo trading participants: [§8(1)] (limited to the matters concerning the Fidelity Guarantee Money), [§21(2)], [§22], [§26] through [§28] and [§31]. In such cases, “members” in [§8(1)], [§26] through [§28] and [§31] shall be construed as “Repo trading participants”, respectively, and “non-clearing members” in [§21(2)] and [§22] as “Repo trading participants”, respectively.

(4) Matters necessary for the application for participation of Repo trading participants and approval thereof, management of Repo trading participants, etc. shall be separately set by the Exchange.

§41-2. Public Opinion Gathering

In case this Regulation (including its Enforcement Rules) is to be amended, public opinion of interested parties should be gathered pursuant to the Enforcement Rules.

[April 29, 2020]

§42. Enforcement Rules

Matters necessary for the enforcement of this Regulation shall be stipulated in the Enforcement Rules.

ADDENDA
(January 21, 2005)

§1. Effective Date

This Regulation shall become effective on the day the Exchange is incorporated.

§2. Interim Measures for Membership Status

(1) The regular members of the Korea Stock Exchange (KSE) or the members of the Korea Securities Dealers Association (KSDA), who were the special members of the KSE and participated in the OTC of the KSDA before the effective date of this Regulation, shall deem to be the clearing members among the securities trading members, and the special participants of the KSE shall participate as the clearing members among the securities trading members in trading the securities that they used to handle.

(2) Among the members of the KSDA who participated in the OTC of KSDA before the effective date of this Regulation, those who were not the regular member or special participants of the KSE shall deem to be the non-clearing members among the securities trading members. In such cases, they shall be the clearing members with regard to the securities transactions conducted in the KOSDAQ Market, and they shall be able to participate in the Stock Market as a clearing member or non-clearing member in accordance with the decisions of Board.

(3) The clearing members of the Korea Futures Exchange (KOFEX) before the effective date of this Regulation shall be the clearing members among the futures trading members, and the non-clearing members of the KOFEX shall be the non-clearing members among the futures trading members.

(4) The non-clearing special members of the KOFEX before this Regulation became effective shall be the futures trading members. In such cases, these futures trading members shall be the clearing members in trading the Stock Market-listed equity and index futures (hereinafter referred to as “the Stock Market-listed equity and index futures trade”) pursuant to the proviso to [§9(3)] of the Articles of Incorporation of the former KOFEX, and shall be the non-clearing members in trading the futures based on the other equities and stock price indices (hereinafter referred to as “the other equity and index futures trade”). Provided, That as of the effective date of this Regulation, those futures trading members who participate only in the Stock Market-listed equity and index futures trade may participate in the other equity and index futures trade as a clearing member or non-clearing member according to the decisions of the Board of the Exchange.

§3. Exceptions to the Conversion of Membership

A securities company that is a futures trading member pursuant to [§2(4)] of this Addendum (dated on January 21, 2005) as of the effective date of this Regulation may

convert its membership from a clearing member for the Stock Market-listed equity and index futures trade to a non-clearing member or from a non-clearing member for the other equity and index futures trade to a clearing member. In such cases, after the membership conversion, such member shall consolidate its membership into a clearing member or non-clearing member in the Stock Market-listed equity and index futures trade and the other equity and index futures trade.

§4. Interim Measures for Financial Requirements

Among the financial requirements applicable to the clearing members pursuant to [§29], the ones relating to the capital stock shall not apply to the securities trading members pursuant to [§2(2)] of this Addendum until the day before one (1) year has elapsed from the effective date of this Regulation. Provided, That this provision shall not apply to the case where the relevant member participates in the Stock Market as a clearing member.

§5. Interim Measures for Settlement Entrustment Agreement

The settlement entrustment agreement or clearing agreement that has been entered between the members of the KSE or the members of the KOFEX prior to the effective date of this Regulation shall be construed as the settlement entrustment agreement entered pursuant to this Regulation.

§6. Interim Measures for Accumulation of Joint Compensation Fund

(1) The amount obtained by subtracting the amount equivalent to 1/3 of the amount contributed to the Joint Compensation Fund prior to the effective date of this Regulation by the securities companies that presently participate in the Futures Market as a clearing member from the sum of the amount accumulated in the Joint Compensation Fund of the KSE and the Settlement Stabilization Fund of KSDA, which has been reserved pursuant to the Business Regulation of the OTC Market of KSDA, (hereinafter referred to as “the Joint Compensation Fund, etc.”) shall be construed as the Joint Compensation Fund accumulated for the Stock Market (including the KOSDAQ Market) pursuant to [§23] and [§24] as of the effective date of this Regulation, and the Exchange shall return the amount of balance to the relevant securities companies and, at the same time, shall regard that the relevant companies have contributed that amount to the joint compensation fund of the Futures Market.

(2) The sum of the Guarantee Fund of the KOFEX that has been accumulated by the day before the effective date of this Regulation and the amount contributed to the joint compensation fund of the Futures Market pursuant to paragraph (1) shall be construed as the Joint Compensation Fund of the Futures Market pursuant to [§23] and [§24] as of the effective date of this Regulation.

(3) Notwithstanding [§23(4)], until the quarter to which the date when one (1) year has elapsed from the effective date of this Regulation belongs, the amount that each clearing member must contribute to the Joint Compensation Fund shall be calculated on the basis of the first day of each quarter where the day when six (6) months and nine (9) months

have elapsed from the effective date of this Regulation belong to (hereinafter referred to as “the base date”), and each clearing member shall pay to /receive from the Exchange the difference between that amount and the contribution made by the day before the base date within twenty (20) days of the base date.

(4) The amount that each clearing member must contribute to the Joint Compensation Fund on the base date shall be the amount calculated by adding/subtracting the 1/3 (in case of the base date to which the date after six months have elapsed from the effective date of this Regulation belong) and 1/2 (in case of the base date to which the date after nine months have elapsed from the effective date of this Regulation belong) of the difference (the amount less than KRW 10 shall be rounded to the nearest whole number) between the amount calculated by applying *mutatis mutandis* [§24] and the amount that each clearing member has contributed to the Joint Compensation Fund by the day before the base date. Provided, That the amount to be contributed to the Joint Compensation Fund by the clearing members who have been admitted or converted to after the effective date of this Regulation shall be the amount calculated by applying *mutatis mutandis* [§24].

(5) Until the quarter to which the date after one (1) year has elapsed from the effective date of this Regulation belongs has arrived, notwithstanding [§23(5)], the futures trading members who are not a securities company may contribute to the Joint Compensation Fund with the government bonds, the bonds issued by a corporation established by special laws or the bank payment guarantee, for the amount up to 1/2 of the Joint Compensation Fund.

§7. Interim Measures for Fees, etc.

(1) Unless otherwise determined by the Board of the Exchange, the fixed rate fees established by the KSE before the effective date of this Regulation shall be deemed the transaction fees in the Stock Market and KOSDAQ Market, and the trading fees established by the KOFEX shall be deemed the transaction fees in the Futures Market.

(2) The fidelity guarantee money that the securities trading members and futures trading members deposited with the KSE or the KOFEX before the effective date of this Regulation shall be deemed the fidelity guarantee money that they have deposited pursuant to [§31].

(3) The rate of support service fees levied on the ECN members, which was established by the KSE before the effective date of this Regulation, shall be deemed the rate of support service fees pursuant to [§40(4)].

§8. Refund of Computerization Equipment Guarantee Money

The Exchange shall return the computerization equipment guarantee money, which the members of the KSDA deposited with the KOSDAQ Market, Ltd. in order to participate in the OTC market of the KSDA prior to the effective date of this Regulation, to the relevant members within one (1) month from the effective date of this Regulations.

ADDENDUM

(Regulation No. 104, August 26, 2005)

This Regulation shall become effective on August 29, 2005.

ADDENDUM

(Regulation No. 291, October 12, 2007)

This Regulation shall become effective on November 1, 2007.

ADDENDA

(Regulation No. 407, January 28, 2009)

§1. Effective Date

This Regulation shall become effective on the date the Act is put in force. Provided, That the provisions of [§3] of this Addendum (dated on January 28, 2009) shall become effective on the date when the FSC authorizes the addition of business unit pursuant to [§6] of Addendum of the Act No. 8635 (dated on August 3, 2007).

§2. Interim Measures for Membership Status

(1) As of the effective date of this Regulation, the former securities trading members shall deem to be the securities member pursuant to the amended provisions of [§3(1)1] and the former bond dealers shall deem to be the debt securities member pursuant to the amended provisions of [§3(1)3].

(2) As of the effective date of this Regulation, the former futures trading members shall deem to be the derivatives member pursuant to the amended provisions of [§3(1)4]. Provided, That of the former futures trading members, those members who fall under the proviso to [§2(4)] of Addendum of this Regulation dated January 21, 2005 shall deem to be the equity derivatives member pursuant to the amended provisions of [§3(1)5].

(3) As of the effective date of this Regulation, the former clearing members shall deem to be the clearing member pursuant to the amended provisions of [§3(2)1] and the former non-clearing member shall deem to be the non-clearing member pursuant to the amended provisions of [§3(2)2].

§3. Exceptions to Member Admission Subsequent to Addition of Business Unit

Notwithstanding [§2] of this Addendum (dated January 28, 2009), in case where a former member has obtained an approval for addition of business unit pursuant to [§6] of Addendum of the Act No. 8635 (dated on August 3, 2007), the decision on the admission of such member shall be made after receiving an application for membership in accordance with [§5].

§4. Interim Measure for Financial Requirements of Clearing Member

Notwithstanding the amended provisions of [§7], the equity capital of clearing member shall be subject to the criteria specified in [§7] of former Regulation until the end of the fiscal year to which December 31, 2010 belong.

ADDENDA

(Regulation No. 661, December 1, 2010)

§1. Effective Date

This Regulation shall become effective on January 1, 2011.

§2. Interim Measures for Total Accumulation of Joint Compensation Fund, Basic Contribution and Contribution Amount by Government Bonds or Monetary Stabilization Bonds

(1) Notwithstanding the amended provisions of [§23(3)], [§24(1)1] and [§24(2)1], until March 31, 2011, the total accumulation amount and basic contribution of joint compensation fund for each of securities market and derivatives market shall be KRW 120 billion and KRW 600 million, respectively and until June 30, 2011, they shall be KRW 150 billion and KRW 750 million, respectively.

(2) Notwithstanding the later part of [§23(5)], until March 31, 2011, the amount that the clearing member may contribute with the government bonds or monetary stabilization bonds shall be 20/100 of the amount that the relevant clearing member must contribute and until June 30, 2011, it shall be 35/100 of the amount that the relevant clearing member must contribute.

ADDENDA

(Regulation No. 808, January 27, 2012)

§1. Effective Date

This Regulation shall become effective on March 1, 2012.

§2. Exception in Imposing Disciplinary Measure Related to Failure to Meet Financial Requirements

The amended provisions of [§36], [§37] and the proviso to [§38(2)] shall apply starting with the first member whose monthly report of financial statement falls under subparagraph 3 of [§35] after the effective date of this Regulation.

ADDENDUM

(Regulation No. 1104, October 29, 2014)

This Regulation shall become effective on January 1, 2016, however, be effective on January 1, 2015 to members reported early application of net capital ratio to the Governor of the Financial Supervisory Service.

ADDENDUM

(Regulation No. 1142, February 11, 2015)

This Regulation shall become effective on February 26, 2015.

ADDENDUM

(Regulation No. 1229, September 2, 2015)

This Regulation shall become effective on September 3, 2015.

ADDENDA

(Regulation No. 1279, December 30, 2015)

§1. Effective Date

This Regulation shall become effective on December 31, 2015. Provided, That the amended provisions of [§2(2)2], [§23(1)2, (4)2 & (5)2], [§24(5)], [§25] and [§25-2] shall become effective on January 25, 2016.

§2. Exceptions to Maintenance of Financial Requirements of Members

As of the effective date of this Regulation, notwithstanding the amended provisions of [§7], with regard to the maintenance of financial requirements of members, the previous provisions shall apply until December 31, 2017.

§3. Exceptions to Size of Total Accumulation of Basic Joint Compensation Fund and Amount of Contribution by Individual Clearing Member

(1) With regard to the total accumulation of Basic Joint Compensation Fund of each of the securities markets and the derivatives market for the quarter that first arrives after

the effective date of this Regulation, notwithstanding the amended provisions of [§23(4)1], the total accumulation of Basic Joint Compensation Fund of the securities markets shall be KRW 77.4 billion and the total accumulation of Basic Joint Compensation Fund of the derivatives market shall be KRW 390.6 billion.

(2) In applying the amended provisions of [§24(1)2] and [§24(2)2], when calculating the amount of variable contribution for the first time after the effective date of this Regulation, the “end of previous quarter” in [§24(1)2] and [§24(2)2] shall be deemed to be “September 30, 2015”, respectively.

ADDENDUM

(Regulation No. 1606, December 5, 2018)

This Regulation shall become effective on the date set by the Enforcement Rules by taking into consideration the time period required for the development of programs for the Exchange’s derivatives system and the members’ derivatives systems.

ADDENDUM

(Regulation No. 1754, November 20, 2019)

This Regulation shall become effective on December 2, 2019.

ADDENDA

(Regulation No. 1805, April 29, 2020)

§1. Effective Date

This Regulation shall become effective on May 8, 2020.

§2. Application case on restriction of re-admission after being expelled from membership

The amended provisions of [§6(2)] shall apply with in case a member that has been expelled after the effective date of this Regulation applies for membership.

ADDENDUM

(Regulation No. 2142, July 19, 2023)

This Regulation shall become effective on July 24, 2023.

ADDENDA

(Regulation No. 2283, March 4, 2025)

§1. Effective Date

This Regulation shall become effective on March 4, 2025.

§2. Application case on restriction of re-admission after being expelled from membership

The amended provisions of [§9] on membership admission shall apply to those who apply for membership after the effective date of this Regulation.

ADDENDUM

(Regulation No. 2355, September 22, 2025)

This Regulation shall become effective on November 3, 2025.